

Incentive on Mobile Phones

Table 3

Segment	Proposed Incentive Rate	Incremental Investment over Base Year	Incremental Sales of Manufactured Goods over Base Year
Mobile Phones (Invoice value of ₹15,000 and above)*	Year 1: 6% Year 2: 6% Year 3: 5% Year 4: 5% Year 5: 4%	₹10 billion over 4 years Cumulative Minimum (billion): Year 1: 2.5 Year 2: 5.0 Year 3: 7.5 Year 4: 10.0	Year 1: ₹40 billion Year 2: ₹80 billion Year 3: ₹150 billion Year 4: ₹200 billion Year 5: ₹250 billion

the electronics value chain including electronic components and semiconductor packaging. The scheme extends an incentive of four to six per cent on incremental sales (over base year) of goods manufactured in India and covered under target segments, to eligible companies, for a period of five years subsequent to the base year. Financial Year 2019-20 has been taken as the base year.

Announced with a total incentive outlay of 409.51 billion rupees, the incentive amount allocated in billions of rupees is 53.34 for first year, 80.64 for second year, 84.25 for third year, 114.88 for fourth year, and 76.40 for the fifth year.

While this is the second round of the scheme, and the government is considering to approve 30 companies to be a part of this, Samsung, Foxconn Hon Hai, Rising Star, Wistron, and Pegatron were approved last year under the PLI for smartphones. AT&S, Ascent Circuits, Visicon, Walsin, Sahasra, and Neolync were the six companies approved under the Specified Electronic Components Segment during the first round.

Under this PLI scheme for large scale electronics manufacturing, mobile manufacturers produced goods worth 350 billion rupees and invested 13 billion rupees in the December 2020 quarter, as notified by the Ministry of Commerce and Industry through an official statement.

Telecom and networking products

One of the most recent PLI schemes to be introduced in India, the PLI for

Incentive on Telecom and Networking Products

Table 4

Year	Proposed Incentive Rate on incremental sales	Cumulative Investment (Other than land and building)	Minimum Eligible Incremental Net Sales* of Manufactured Goods over the Base Year	Maximum Eligible Incremental Net Sales* of Manufactured Goods over the Base Year
	(A)	(B)	(C)	(D)
1	7%	Greater than or equal to 20% of X	3*(20% of X)	20*(20% of X)
2	7%	Greater than or equal to 40% of X	3*(40% of X)	20*(40% of X)
3	6%	Greater than or equal to 70% of X	3*(70% of X)	20*(70% of X)
4	5%	Greater than or equal to X	3*X	20*X
5	4%		3*X	20*X
Other than MSMEs- Minimum Threshold of Investment ₹100 Crores				
1	6%	Greater than or equal to 20% of X	3*(20% of X)	20*(20% of X)
2	6%	Greater than or equal to 40% of X	3*(40% of X)	20*(40% of X)
3	5%	Greater than or equal to 70% of X	3*(70% of X)	20*(70% of X)
4	5%	Greater than or equal to X	3*X	20*X
5	4%		3*X	20*X

Where X = Committed Total Investment by the Company/entity over a period of four years starting from year 2021-22 (minimum ₹100 million for MSMEs and ₹1 billion for others)

Performance Matrix

Table 5

	Module Efficiency (%) →	During Five Year Period After Commissioning				
		Base PLI Rate (₹/Wp)**				
		Less than 19.50%	19.50% and above but less than 20%	20% and above upto 21.5%	Above 21.5% and upto 23%	Above 23%
Module's Temperature Coefficient of Pmax* (in % per degree Celsius)↓	Position		W	X	Y	Z
Worse than -0.40		0	0	0	0	0
-0.40 to -0.30	A	0	0	2.50	3.00	3.50
Better than -0.30	B	0	2.25	2.75	3.25	3.75

* Pmax=Maximum Power at Standard Test Conditions (STC), i.e. Irradiance 1000 W/m², cell temperature 25°C, air mass (AM)=1.5; Module's temperature coefficient refers to percentage change in Pmax per degree Celsius rise in temperature

** Increase in the Base PLI Rate (₹/Wp) of ₹0.25/Wp for different module efficiency has been kept to motivate and incentivise manufacturers for producing higher efficiency module which requires higher investment for R&D.